

4. Expenditure on Research & Development (R&D)

	(₹ crore)
(a) Capital	158.90
(b) Recurring	585.97
(c) Total	744.87
(d) Total R&D expenditure as a % of Total Turnover	0.53%

(C) Foreign Exchange Earnings and Outgo

Particulars	FY2025-26	FY2024-25
Foreign Exchange Earnings	10,139.09	7,266.71
Value of direct imports (C.I.F. Value)	30,056.95	37,210.64
Expenditure in foreign currency	2,005.61	1,519.22

On behalf of the Board of Directors

sd/-

N. CHANDRASEKARAN

Chairman

DIN: 00121863

May 15, 2026
Mumbai

MANAGEMENT DISCUSSION AND ANALYSIS 2025-26

I. OVERVIEW

The objective of this report is to convey the Management's perspective on the external environment and steel industry, as well as strategy, operating and financial performance, material developments in human resources and industrial relations, risks and opportunities and internal control systems and their adequacy in the Company during the FY2025-26. This should be read in conjunction with the Company's financial statements, the schedules and notes thereto and other information included elsewhere in this 11th Integrated Report and 119th Annual Accounts of the Company for FY2025-26. The Company's financial statements have been prepared in accordance with Indian Accounting Standards ('Ind AS') complying with the requirements of the Companies Act, 2013, as amended and regulations issued by the Securities and Exchange Board of India ('SEBI') from time to time.

II. External Environment

1. Global Economy

In 2025, the global economy grew at an estimated rate of 3.4% despite significant turbulence. The year was marked by record increases in U.S. tariffs and heightened trade policy uncertainty, a raft of trade deals the impact of which is yet to play out, and a surge in AI linked investments. Key factors impacting economic activity included the weaponisation of trade, and the ongoing transition towards technology-driven growth, particularly in North America and Asia.

Geopolitical risks intensified during the year, with escalating conflict in the Middle East. These developments heightened uncertainty across energy markets and global trade corridors, increasing volatility in commodity prices and disrupting cross-border logistics.

These challenges and uncertainties are continuing into FY2026-27.

Economic Outlook

Global economic growth is projected to slow down with a growth rate of 3.1% in 2026 before recovering to 3.2% in 2027. Advanced economies are expected to grow by 1.8% in 2026, while growth in emerging market and developing economies is projected at 3.9%. Global headline inflation is projected to increase to 4.4% in 2026 and 3.7% in 2027, pausing its previous decline due to higher energy and food prices.

However, these forecasts assume an early end to the disruptions caused by the Middle east conflict. In reality, the pace of disinflation remains vulnerable to energy price shocks. Elevated oil and gas prices could reintroduce cost-push inflationary pressures, complicate monetary easing paths and increasing input cost volatility for industrial sectors.

In the United States, growth is projected at 2.3% in 2026, supported by fiscal stimulus from the 'Big Beautiful Bill' and an AI-related capex surge. However, high public debt (125% of GDP) remains a critical risk; such elevated debt levels may constrain future global infrastructure spending as fiscal space tightens, bring about upward pressure on long-term interest rates, and dampen the investment appetite for capital-intensive sectors. The Euro area is expected to see a 1.2% growth in 2026, driven by German fiscal easing, though structural drags like aging demographics persist. The United Kingdom is forecast to grow by 1.1% in 2026, supported by rate cuts amidst a softening labour market. The Chinese economy is projected to grow by 4.4% in 2026, aided by a 'trade truce' with US and domestic stimulus measures. This truce represents a stabilisation of broad bilateral relations, yet it coexists with rising 'sector-wise protectionism' as nations seek to protect domestic industries from surplus capacity. Global trade volume growth is projected to reach 2.8% in 2026 and 3.8% in 2027, reflecting adjustments in trade linkages.

2. Indian Economy

India remained one of the fastest-growing major economies, with a growth rate of 7.5% in FY2025-26. For FY2026-27, real GDP is projected to expand by 6.7%. Headline CPI inflation is projected to rise to the RBI's target of 4% in FY2026-27 from a record low of 2.2% in FY2025-26. Despite this rise, the RBI is expected to maintain current policy with the repo rate settling at 5.0%. This suggests that while nominal rates may stay low to support growth, the narrowing gap between inflation and interest rates will require careful management to ensure real interest rates continue to stimulate consumer spending in the auto and housing sectors.

Public capex remains high at over 5% of GDP, focusing on infrastructure and defence. The sustained investment in steel-intensive projects, such as those under the National Infrastructure Pipeline (NIP 2.0), ensures positive steel demand.

Continued blockades at the Strait of Hormuz, shortages of fuel and elevated energy costs are a key risk to the Indian economy. Given its import reliance, India risks a widening current account deficit, pressure on public finances, consequent tightening in fiscal spend, higher than anticipated consumer inflation and eventual demand erosion, if the blockade continues.

3. Global Steel Industry

Steel demand remained subdued across major developed markets, particularly due to prolonged weakness in housing construction in China, Europe, Japan and parts of North America. The automotive sector also experienced uneven momentum amid cost pressures and cautious consumer spending. At the same time, sustained public infrastructure spending across several major economies provided some support to steel demand, partly offsetting weakness in traditional consumption segments.

Significant divergence persists across regions. While steel demand in China is expected to continue declining in the near term—albeit at a slower pace—developing economies excluding China are projected to record robust growth. India, in particular, is expected to remain a key growth driver, supported by broad-based expansion across infrastructure, construction and manufacturing. Emerging regions such as parts of ASEAN, MENA and Africa are also witnessing renewed momentum in steel consumption.

Meanwhile, elevated excess capacity and high exports from China have intensified competitive pressures in global markets, resulting in rising trade protection measures across geographies. Overall, while medium term demand prospects show early sign of stabilisation, the global steel industry continues to be marked by structural imbalances, trade tensions and uneven regional recovery.

Demand Outlook

Total global crude steel production for 2025 amounted to 1.8 billion tonnes, decreasing by 2.0% year-on-year. Once again, growth in India partially offset losses in other Asian and European countries. Crude steel production in China, the world's largest steel producing country, declined further by 4.4% to 961 MT. India's growth in steel production accelerated, with total crude steel production rising by 10.4% to 165 MT; while the EU contracted 2.6% to 126 MT.

Domestic demand in China continued to weaken, evident from the country's rising finished steel exports which hit an all-time high of 119 MT in 2025 (up 7.5% year-on-year),

leading to increased protectionist measures across the globe to protect domestic steelmaking industries.

According to the World Steel Association, global steel demand in 2025 was at around 1,749 MT, reflecting a balance between continuing structural headwinds and supportive demand drivers. A modest recovery of 1.3% is anticipated in 2026, with demand rising to approximately 1,773 MT, supported by easing financing conditions, resilient public infrastructure spending and a gradual improvement in investment sentiment.

The outlook remains shaped by divergent regional trends. In China, steel demand is expected to continue declining in 2026, albeit at a slower pace than in recent years, as the downturn in the real estate sector persists. While government support measures may help avoid a sharper contraction, risks remain tilted to the downside given pressures on the manufacturing sector and constraints on local government finances. However, the gradual moderation in the rate of decline suggests that China's steel demand may be approaching a cyclical bottom.

In contrast, steel demand in developing economies excluding China is expected to remain robust, driven by strong infrastructure development, urbanisation and manufacturing growth. Demand in these regions grew by over 3% in 2025 and may accelerate further in 2026, with India, parts of ASEAN, MENA and Africa acting as key growth engines. India, in particular, is expected to deliver sustained high single-digit demand growth, supported by broad-based expansion across steel-using sectors.

Steel demand in developed economies remained under pressure in 2025, marking a fourth consecutive year of muted demand, as high production costs and affordability pressures persist. However, a recovery is anticipated in 2026, supported by infrastructure and defence spending, easing inflation and an improvement in real household incomes.

Overall, while the near-term outlook remains cautious, global steel demand is expected to stabilise and gradually improve, underpinned by structural demand growth in emerging economies and a tentative recovery in key developed markets, subject to an early resolution of the US-Iran conflict.

4. Indian Steel Industry

India continues to be a global leader in steel demand growth, with consumption expected to grow at a healthy rate of 7-8% in FY2026-27. Apparent Steel Use is projected to reach 176-178 MT in FY2026-27, driven by the National Infrastructure Pipeline and emerging segments like data

centres, defence, and renewable energy. Government commitment remains strong, with public infrastructure spending remaining robust. While production is expected to outpace demand growth due to massive capacity, India is transitioning toward becoming a sizeable net exporter.

This growth trajectory is underpinned by several powerful domestic factors:

- › **Infrastructure Investment:** Ongoing massive investments in roads, railways, urban infrastructure (metros), ports, and power generation continue to create significant demand for steel.
- › **Urbanisation:** Rapid urbanisation and associated housing and commercial construction activities fuel sustained demand.
- › **Manufacturing Expansion:** A growing manufacturing sector, supported by government initiatives and increasing domestic consumption, drives steel usage across various downstream industries.

Despite this buoyant domestic outlook, the Indian steel ecosystem will need to navigate an increasingly complex global operating environment. Excessive exports out of China and distortions in trade flows due to protectionist measures will influence domestic price cycles. Furthermore, with the roll out of carbon border mechanisms in Europe and increase in customer demand for low-emission steel, Indian export competitiveness will be impacted.

To maintain its cost competitiveness and sustain export capabilities, the Indian steel industry will require continued policy support in terms of infrastructure build, access to competitively priced energy and raw materials, and an accelerated adoption of cleaner production technologies in India. Strategic focus on enhancing productivity, upgrading product mix to higher value-added segments, and fostering innovation will be crucial for the industry to maintain its competitiveness in the evolving global steel landscape.

5. Global Raw Material Market

The steel raw materials market (primarily iron ore, coking coal and steel scrap) was largely shaped by subdued demand for most part of the year despite some outages at coking coal mines. Seasonal weather-related operational disruptions in Queensland and a rebound in steel demand in India led to a surge in coking coal prices in the final quarter.

Demand & Supply

Despite lower steel production in China, iron ore imports in 2025 hit a record high, rising 1.8% year-on-year to 1.26 BT, leading to a large build-up of material at ports. On the other hand, coking coal imports to China fell 2.7% to 119 MT, reflecting trade tensions with US and a surplus in domestic production. Imports from the US plunged to 2.91 MT from 10.7 MT due to 15% retaliatory tariffs while those from Australia also fell to 8.86 MT from 10.3 MT.

Shipments of iron ore from Australia and Brazil continued to expand, increasing by 3% and 7% year-on-year to 925 MT and 416 MT respectively in 2025. The cyclone season in Western Australia in 2025 was much weaker than 2024, leading to stable supply. From the Simandou mine in West Africa, China received the first shipment of iron ore in January 2026. Simandou has a planned yearly production capacity of 120 MT and produces high-grade ore that is 65% Fe.

Australia's Department of Industry, Science and Resources projects coking coal exports for their FY2025-26 and FY2026-27 to be 150 MT and 161 MT respectively. Resumptions of operations at some major mines (e.g. Centurion and Moranbah North) may increase output from Australia but higher mining costs and royalties are a risk to further supply growth.

Prices

Seaborne Iron ore prices in 2025 were lower year-on-year and exhibited less volatility amid the growing market surplus. The 62% Fe CFR China index prices ranged between \$92.75/dry metric tonnes (dmt) and \$109.50/dmt in 2025, compared to \$89.35/dmt and \$143.95/dmt in 2024. Average iron ore prices stood at \$102.37/dmt for the year, lower than \$109.44/dmt for 2024.

The market was rangebound throughout the year amid a lack of market moving events. Prices were supported by China's 'anti-involution' campaign which led to expectations of reduction in steel output and better prices. However, persistently weak downstream steel demand especially from the contracting real estate sector and expanding supply from new iron ore mines and expansions placed downward pressure on prices.

Seaborne Coking coal prices were rangebound at lower levels in 2025 due to slow demand from both China and India. Prime Hard Coking Coal ('PHCC') FOB Australia prices ranged between \$166/t to \$218/t in 2025, compared to \$180/t and \$338.1/t in 2024. The cyclonic weather conditions in Australia continued wet season well up to March 2026, the rising thermal coal prices

due to energy shortage owing to Middle East conflict had an impact on coking coal prices with average PHCC price touching upwards of \$250/MT in the last quarter. The market continued in contango towards the end of financial year in anticipation of higher coking coal prices.

In China, strong domestic coking coal production and imports from Mongolia reduced seaborne requirements and led to reselling of cargoes. As such, Chinese CFR prices were below Australian FOB + freight for much of the year. In India, the expansion of crude steel production led to higher coking coal and coke consumption but the expected increase in steel demand was slow to materialise.

Strategic Initiatives in Raw Material Sourcing at Tata Steel

- › **New coal & iron ore trials:** Tata Steel has successfully conducted 8 new coal trials in FY2025-26. From the previous year's trials, 2 coals were added into our portfolio ensuring competitive and diversified sourcing. On iron ore, Tata Steel has successfully conducted two new Iron Ore trials in FY2025-26, potential of being added into the portfolio for FY2026-27.
- › **Blend optimisation:** Initiatives were undertaken for leaner blend through additives, weaker coals, Value-In-Use accretive coals for each basket. Initiatives were undertaken for a more cost-efficient blend, combined with Value-In-Use improvement for iron ore as well.
- › **Supplier Engagement:** Tata Steel continues to strengthen met coal supplier connect through organised meets in Australia, long-term contracts, supplier visits to our manufacturing sites etc.
- › **Domestic Sourcing:** The volume under Long- term & spot contracts have been enhanced with Coal India Limited and its subsidiaries enabling us to marginally reduce dependence on imported material.
- › **Strategic Usage of Low & High ash coals:** Optimisation of cost through usage of low and high ash coals as per internal and market opportunities.
- › **Price Prediction Model:** Tata Steel has developed in-house model (NIRN-AI) to project coking coal index with 3 months forecasting period, generating data points enabling Tata Steel to anticipate market movement for better sourcing strategy. This is presently under trial period of 6 months.

- › **Other improvement initiatives:** Value creation through fixed price deals; engagement with Price Reporting Agencies to share feedback on supply/ demand situation, spot offers etc.
- › **Iron ore Value creation:** Leveraging commercial landscape (buyers' market) for fixed long term price deals; engagement with Price Reporting Agencies to share feedback on supply/demand situation, combined with short term spot offers / market opportunities, etc.
- › **Fluxes sourcing:** Value-in-use ('ViU') sourcing for multiple grades of fluxes, largely from overseas market, with some sourcing from neighbouring countries and domestic sources. Demand consolidation across all plant locations was done to maximise volume discount through unified sourcing approach. In the last quarter of FY2025-26, geopolitical tensions escalated in the Middle East on account of act of war affecting Strait of Hormuz. This led to supply chain disruption for the entire industry. The challenges are being addressed through maximising domestic flux buy, sourcing from alternate geographies, sourcing from existing Middle East ports, as and when allowed and possible.

III. Strategy

Tata Steel's strategy is anchored by its Vision—'to be a global steel industry benchmark for value creation and corporate citizenship'. This vision has been shaped through a collaborative, enterprise-wide process involving leadership across all geographies. It provides a single point of strategic anchoring and reflects Tata Steel's long-term aspiration to balance superior business performance with responsible and sustainable practices.

Value Creation is driven through a multi-pronged approach that includes sustained volume growth in India, expansion of downstream products and solutions, and the pursuit of global cost leadership initiatives. These efforts enable Tata Steel to enhance competitiveness, strengthen market presence, and deliver long-term value to all stakeholders.

Aligned with its aspiration to be the most respected organisation, Tata Steel continuously works towards strengthening its safety culture across operations and fostering a zero-harm mindset. In parallel, the Company remains committed to inclusive growth by uplifting communities through focused and impactful Corporate Social Responsibility ('CSR') initiatives. These efforts reinforce Tata Steel's long-standing legacy of ethics, responsibility, and societal contribution.

The following define the strategic objectives of the organisation:

Market Leadership

Tata Steel remains focused on attaining and retaining leadership positions in its chosen segments through scale, product differentiation and deep customer engagement. The Company continues to prioritise this by optimising product mix towards value-added offerings, improving asset utilisation and strengthening customer-linked solutions capabilities. This is supported through digital adoption, innovation and creating a culture of organisation-wide customer centricity. The ramp-up and stabilisation of expanded capacity at Kalinganagar has strengthened the Company's ability to serve growing demand across infrastructure, automotive and manufacturing sectors, while improving operating leverage. In parallel, during the year, Tata Steel consolidated its stake in the colour-coated steel business through Tata Steel Colors Private Limited, strengthening downstream presence.

Profitable Growth

Profitable Growth in India is centred on ambition to significantly expand our production capacity while ensuring that this growth directly translates into financial performance and strengthens our global market standing. This target is coupled with a critical focus on the monetisation of iron ore from existing sources, ensuring optimal utilisation of our captive raw material assets to drive cost efficiencies and enhance profitability. To strengthen this, Tata Steel received in-principle approval to expand Neelachal Ispat Nigam Limited by 4.8 MT per annum, and acquired a controlling stake in Thriveni Pellets Private Limited, securing pellet capacity to support growth reinforcing its long-term capacity growth platform in India and significantly contributing to our overarching ambition of achieving a global standing in both operational excellence and sustainable value creation.

Global Cost Leadership

Raw materials security has always been critical for steel owing to the significant share of raw material cost in the overall steel manufacturing process. In India, Tata Steel remains focused on securing low-cost raw material to maintain supply security while optimising production costs and ongoing value chain optimisation across procurement, logistics, energy and operations have reinforced Tata Steel India's position as a cost leader. The Company is also working on cost reduction initiatives in the UK and the Netherlands to ensure that the

performance is at benchmark levels in the geographies that they operate. Structural cost reduction through optimisation initiatives and continuous improvement programmes have enabled operating performance to benchmark against global peers.

Strategic partnerships, including a collaboration with Lloyds Metals & Energy Limited across iron ore mining, logistics, pellet production and steelmaking in the Gadchiroli region, are expected to further strengthen raw material security, supply chain efficiency and cost competitiveness.

Industry Leadership in ESG

Tata Steel continues to advance its sustainability agenda with a strong focus on zero harm, environmental stewardship and the transition to low carbon steelmaking. Safety remains a core value, with the Company continuing to strengthen systems, processes and behaviours.

Alongside safety, Tata Steel India is focused on achieving benchmark environmental performance across carbon emissions, water stewardship and air quality, supported by investments in scalable low-carbon technologies, increased renewable energy usage and circularity initiatives, aligned with its Net Zero target of 2045.

A key pillar of this strategy, Tata Steel India has inaugurated a 0.75 MTPA scrap-based Electric Arc Furnace at Ludhiana, Punjab, designed to achieve carbon emissions of less than 0.3 tonnes of CO₂ per tonne of steel, representing a important step in reducing the carbon intensity of domestic steel production.

In parallel, Tata Steel continues to invest in breakthrough ironmaking technologies. The Company has been operating the Hlsarna pilot plant at IJmuiden for over a decade and, following successful joint trials, is working towards a ~1 MTPA demonstration plant at Jamshedpur. Tata Steel holds the global intellectual property rights for the Hlsarna technology, positioning it as a critical element of its long-term strategy.

Further strengthening its technology portfolio, Tata Steel has entered into definitive agreements with Paul Wurth S.A. (SMS group) for the first in the world implementation of EASyMelt® technology in India, which is expected to reduce carbon emissions by over 50% compared to baseline blast furnace operations.

Beyond carbon, Tata Steel is focused on improving water efficiency and air quality performance across its operations through sustained reductions in specific

water consumption, enhanced recycling and reuse, and continuous improvement in dust and particulate emission controls, aligned with global benchmark practices.

Tata Steel Nederland ('TSN') continues to be in discussion with the Netherlands government in relation to the proposed phase I of its decarbonisation journey replacing one out of the two blast furnaces with a Direct Reduced Iron plant and an Electric Arc Furnace. TSN executed a non-binding Joint letter of Intent with the government, and the local Province. It is presently working with the government and local stakeholders to resolve various regulatory issues and other conditions precedent which require completion prior to a final investment decision on the project.

TSUK is executing a comprehensive transformation to achieve a sustainable profitable business model centred on low-carbon steelmaking. The transition towards scrap-based electric arc furnace operations with a step change in the Company's cost structure, emissions profile and product offering underpinning a more resilient, competitive and lower risk operating model. Site demolition work has been largely completed, orders for critical equipment packages have been placed and construction work are proceeding well. TSUK is also engaged with National Grid UK to mitigate impacts of potential delays to the high voltage connection.

Strategic Enablers

To achieve its strategic objectives across geographies, Tata Steel has identified the following strategic enablers that underpin execution, resilience and long-term value creation.

Customer Centricity: In an increasingly competitive and dynamic market environment, Tata Steel continues to deepen a culture of customer centricity by prioritising customer interests and long-term relationships. The Company is focused on embedding customer-centric decision-making across the value chain, from product development and manufacturing to sales, logistics and after-sales support.

This approach is supported through closer customer engagement, differentiated solutions and stronger collaboration to address evolving requirements across key end-use segments.

Technology Leadership: Among the top 5 technology leaders in the global steel industry: Technology led differentiation has been one of the cornerstones for Tata Steel in bringing value to the customers. Being a pioneer in the steel industry, the organisation is dedicated to leveraging technology to grow and overcome business

challenges. While technology will play a pivotal role in its sustainability journey, it will also enable Tata Steel to become future ready for evolving customer needs. The Company through its ecosystem of R&D and technology partners are working on several low technology readiness level programmes in utilisation of low-quality raw materials, sustainable generation and usage of Hydrogen, Carbon Capture and Utilisation, among others.

Digital and AI: Tata Steel continues its accelerated Digital Transformation towards a data- and AI-enabled, future-ready enterprise, strengthening Industry 4.0 through large-scale AI Adoption and Engagement, enhanced data governance, and integrated operations. In FY2025-26, 860 AI models including 300 agents were deployed across the value chain, improving productivity, automation, and customer and employee experience. The upgraded Tata Steel Digital Assistant ('TDA') enables secure, AI-enabled decision support. AI-driven Remote Operations advanced manufacturing excellence, while digital platforms enhanced customer experience. Functional excellence and 'One Tata Steel' integration were strengthened through unified systems, cybersecurity, and global data standardisation, driving operational resilience and sustained value creation.

Employer of Choice, Best retention of critical talent; driving One Tata Steel through a 4C culture: In an evolving work paradigm, it is important for Tata Steel to stay competitive by being an employer of choice. The organisation utilises process intervention and technology for developing best-in-class infrastructure, future ready policies, and ensuring a safe and healthy work environment for its employees. Several measures including creating a culture of collaboration, diversity & inclusiveness, capability development & engagement of employees lies at the forefront of the organisational goals. The One Tata Steel transformation programme continues to strengthen alignment, collaboration and cohesion across the global organisation, anchored in a shared 4C culture of Change, Connect, Contribute and Care.

Financial Prudence: Financial discipline remains a foundational enabler of Tata Steel's strategy. The Company continues to focus on prudent capital allocation, disciplined cost management and strong cash flow generation to ensure balance sheet resilience and achieve and sustain benchmark returns on invested capital across cycles.

Strategic decisions are guided by a robust evaluation of risk, return and long-term value creation, with an emphasis on maintaining financial flexibility to support growth and transformation through business cycles.

IV. Human Resource Management and Industrial Relations.

Tata Steel's true strength lies in the people who shape the organisation with their collective spirit, passion, and values. Guided by this philosophy, we have nurtured a workplace where learning, inclusion, and collaboration define everyday experiences. We have embarked on the One Tata Steel journey through which we are transforming our diverse global footprint into a truly integrated entity, harnessing the unique strengths of varied geographies to enhance operational excellence and reinforce competitive advantage.

We amplified our people ecosystem to shape a culture anchored in agility, digital mindset, and responsible growth. As we look toward 2030, we remain focused on seizing emerging opportunities while continuing to build a workplace that is both highly productive and deeply human.

Driving Unified Culture: We have begun this journey by launching our Culture Code, which serves as the social glue connecting our people across geographies and uniting us under a shared way of working. It has been cocreated by more than 1,000 employees through a series of workshops conducted across our global locations. Built around four pillars-Connect, Change, Contribute, and Care, the Culture Code articulates the behaviours that define how we work every day.

Workforce Capability Development: Building on the foundation of excellence, we anchored structured development architecture designed to deepen functional and technical expertise across all domains through enterprise frameworks such as the Schools of Excellence, the Employee Capability Building System, and the Functional Competency Framework in Tata Steel. TSN shifted to rolebased learning; introduced FGO+ to map learning paths directly to roles and tasks with personalised learning and job relevant modules. Aligning to our long-term vision, Gyan Setu, a CXO-led learning series, was introduced in India to provide employees deeper insights into strategic priorities and leadership perspectives.

We also accelerated digital adoption this year by leveraging technology-enabled platforms for self-directed learning, driving productivity gains via process optimisation. This culture of continuous improvement extends to our safety-first ethos, where behavioural training has been significantly augmented by targeted interventions like URJA 2.0 and SASS (Skill Augmentation of Safety Supervisors). Tata Steel Thailand ('TSTH') also

created interactive microlearning modules for employees on values and ethics courses (TCoC, POSH, ABAC) to make understanding encouraging. Furthermore, we are investing in the next generation of professionals through strategic collaborations, such as Tata Steel Business Delivery Centre Limited partnered together with Institute of Chartered Accountants of India to formalise experiential learning for emerging finance talent.

Diversity, Equity & Inclusion: At Tata Steel, we believe that a diverse and inclusive workforce is at the heart of our people philosophy. It fosters innovation and inspires every employee to contribute meaningfully. We have achieved a milestone with the introduction of three-shift deployment of women in India at Tata Steel Jamshedpur, Tata Steel Kalinganagar and one of our mining location. By investing in supportive infrastructure and by introducing seamless integration practices, we have ensured that talent, rather than traditional constraints, dictates career progression on the shop floor.

The paternity benefit policy in India was revamped to promote shared caregiving responsibilities and encourage a more balanced domestic environment for employees. Going beyond compliance, maternity benefits will now be available from the first day of employment, reinforcing our peoplefirst commitment and our promise to support all women employees equitably.

Initiatives like 'Prerna Bazaar' has further embedded social inclusion by sensitising the employees to promote community-led enterprises. Efforts were also put in March of Inclusion, our initiative that translated intent into action, driving inclusive behaviours across locations and functions. By prioritising accessibility and challenging stereotypes, we are forming a workplace that drives every individual to thrive.

Inclusion practices are advancing across all geographies. TSN introduced guidance for gender transition at work, put efforts in LGBTQIA+ inclusion and increased participation in Pride events to support the communities. At TSUK, a clear roadmap led to sustained focus on DE&I priorities. At Tata Steel Thailand, a Women's Committee has been established to strengthen voice of its people representing contract workforce and employees of all levels.

Leadership and Talent Growth: We are strategically pivoting toward a skill-based talent ecosystem to accelerate career mobility and strengthen leadership acumen to ensure we remain future-ready. As part of our

journey to nurture a strong pipeline of global leaders, we have reintroduced the Global Leadership Development Programme. This cohort brings together 30 High potential leaders from across our geographies to deepen their strategic capabilities, broaden their global exposure, and strengthen their leadership impact. Through immersive learning, cross functional collaboration, and curated development experiences, the programme is designed to equip them to lead with agility, vision, and a shared One Tata Steel mindset.

Launch of StepUp: Role Marketplace and Skill Passport in India, has opened new opportunities for employees. High-potential mid-level managers participated in the Building Leaders for Tomorrow programme, while 'The Art of Development Conversation' was launched to equip leaders with the nuances of handling complex growth and performance discussions.

Employee Wellbeing

We believe that the holistic wellness of our employees is the cornerstone of building a balanced, productive, and purpose-driven workforce. This year, we institutionalised a multidimensional wellness framework structured around five strategic pillars: physical, emotional, occupational, social, and financial wellbeing. By integrating these pillars into our organisational fabric, we are focusing on culture that supports employees to be healthy and efficient.

Employee participation in wellbeing programmes was actively promoted through exciting experiences such as Wellness Retreats, Wellness Week activities, and recognition platforms in Tata Steel. In TSUK, a volunteered Mental Health First Aiders network has gained traction providing early support, reducing stigma, and embedding mental health awareness. At TSTH, enterprise wide wellness campaign such as Let's Walk, nutrition discussions, and mental health talks were conducted to drive participation through rewards and sustained engagement. At TSN, confidential counsellors offer trusted advice, helping colleagues feel safe and supported at work.

This commitment was further seen at NINL, where community spirit and fitness were championed by observing International Olympic Day and the promotion of localised wellness campaigns. By embedding these measures into our daily rhythm, we are ensuring our people possess the sustained focus and energy required for long-term value creation.

Transformation Journey at TSN

In TSN, efforts on change management gained momentum via SCALE programme aimed at restoring competitiveness and positioning the organisation among the best-performing steel companies in the region. This is underpinned by a consultative approach with unions and transparent employee communications through town halls and podcasts.

Workforce Transition at TSUK

At TSUK, the Cross Match Committee was constituted as a testament to our responsible workforce management. By systematically matching the skills and preferences of employees, we successfully redeployed most of our workforce identified for transition, enabled through targeted workshops and collaborative mapping.

Industrial Relations and Workforce Management

Industrial harmony and organisational agility remain the twin pillars of our operational stability. This year, we fortified our long-standing culture of collaboration by fully implementing the revised Three-Tier Joint Consultative System in Tata Steel, creating a unified and transparent channel for dialogue across the enterprise. Extending these efforts, we launched the Contract Workers Social Index ('CWSI') in FY2025-26. As a first-of-its-kind metric, the CWSI allows us to objectively track the work experience of our contractual workforce, and ensure they feel inclusive, secure, and aware of welfare schemes.

To remain adaptive of evolving business needs, we established the Workforce Placement Cell, which facilitates strategic internal redeployments and provides employees with the necessary resources for smooth transitions into new roles.

Agile Policy Enhancements

We are leveraging digital transformation to redefine the people practices, moving toward a more intuitive approach, engineered to expedite the resolution of employee queries and democratise access to enabling information. A standout initiative this year was the deployment of AI agents within the Tata Digital Assistant in Tata Steel, complemented by the rollout of Agile Workday Planning that has empowered teams to do efficient resource planning across the organisation. These tools allowed people to focus on high-value work by significantly reducing administrative friction. Alongside our digital advancements, we refined key policies to

streamline everyday employee benefits, enhancing the overall employee experience and ensuring greater consistency across the organisation.

Awards and Recognition: Reflection of our People-First Approach

For Tata Steel, recognition is not merely measured in awards but in the enduring values and practices that define our workplace culture. For the fifth consecutive year, Tata Steel secured the Gold Employer Award at the India Workplace Equality Index ('IWEI'), highlighting our progressive policies that support the LGBTQIA+ community. Complementing this, TSN recently received positive recognition in the Workplace Pride Global Benchmark, underscoring our inclusive practices across Europe. Our commitment to responsible and compliant operations was showcased by receiving the CLRA registration for the Kalamang Mines, reinforcing our dedication to ethical labour practices. Our dedication to cultivating talent and advancing vocational capability was acknowledged when we received the Best Establishment Award at the 35th CII National Work Skills Competition 2025. The enduring Tata ethos of service was recognised when TRF Limited received appreciation from the Tata Sustainability Group for recording the highest volunteering hours in the small-scale industries category, a first within the Tata Group.

By nurturing a purpose driven growth with a deep-rooted emphasis on wellbeing, inclusion, and agility, Tata Steel continues to transform its human capital into a distinct success lever. Our people remain the primary catalysts of our courage, upholding that as we produce the steel of tomorrow, we are guided by the values that have defined us for over a century.

V. TATA STEEL GROUP OPERATIONS

1. Major Highlights

During the year under review, the consolidated crude steel production for Tata Steel Group ('TSG') was 31.67 MT which was higher by 2% (FY2024-25: 30.92 MT), primarily on account of ramp-up of BF#2 at Tata Steel Kalinganagar during the year. Production at the Netherlands was marginally lower due to planned maintenance in FY2025-26.

The production increased at Tata Steel Standalone to 22.47 MT which was higher by 8% (FY2024-25: 20.72 MT) attributable to ramp-up of BF#2 at Tata Steel Kalinganagar during the year. NINL produced 0.95 MT, in line with last year (FY2024-25: 0.95 MT).

Tata Steel Netherlands ('TSN') maintained production level of 6.69 MT which was marginally lower compared with previous year (FY2024-25: 6.75 MT). This was attributed to the planned maintenance stops at TSN in the current year resulting in lower production. Production at South-East Asia ('SEA') stood at 1.55 MT (FY2024-25: 1.43 MT) which was higher by 7% due to improved market sentiments.

The consolidated steel deliveries of TSG at 31.97 MT in FY2025-26 is showing an increase of 3% (FY2024-25: 30.96 MT), primarily at Tata Steel Standalone (1.58 MT) mainly on account of ramp-up of BF#2 at Tata Steel Kalinganagar. Deliveries decreased at TSN by 0.10 MT due to lower production and despatches to TSUK.

The Turnover of TSG in FY2025-26 was higher over FY2024-25 by ₹13,597 crore (6%) on account of increase in deliveries at the Indian operations and South East Asian operations attributable to increase in production, despite subdued realisations across geographies.

The EBITDA in FY2025-26 was higher over FY2024-25 by ₹9,046 crore (35%) driven by cost transformation savings initiatives across geographies. Increase in EBITDA at Tata Steel Standalone was due to lower coal cost and higher deliveries which were partly offset by lower average net realisation, at TSN due to reduction in raw material cost partly offset by lower deliveries and higher cost of emission rights, lower EBITDA loss at UK operations due to closure of blast furnace and reduction in its related expenses partly offset by lower margins.

Tata Steel Group on a consolidated basis reported a profit after tax of ₹10,886 crore as compared to ₹3,174 crore in FY2024-25 primarily on account of improvement in EBITDA across locations mainly due to higher deliveries and cost take out initiatives taken across the group.

2. Tata Steel Limited (Standalone)

a) Operational Review

	(mn tonnes)		
	FY2025-26	FY2024-25	Change (%)
Hot Metal	22.65	20.89	8
Crude Steel	22.47	20.72	8
Saleable Steel	22.04	20.34	8
Sales	22.53	20.94	8